31st October 2026

Betting on Everything:
Should States Allow Prediction Markets?

A policy review of Kalshi, Polymarket and their rivals: what the boom of 2025–2026 reveals about our societies, what the markets are useful for, where they cause harm, and how they should be regulated.

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Abstract

In eighteen months, prediction markets went from a curiosity to an industry. Monthly trading on Kalshi and Polymarket rose from $2.8 billion in January 2025 to $53 billion in July 2026; Kalshi is valued at $40 billion and Polymarket at $21 billion; the NBA, Robinhood and the owner of the New York Stock Exchange have joined in. At the same time, a soldier has been charged with betting on a military raid he took part in, a journalist received death threats from traders who wanted a different settlement, and about twenty states are fighting the platforms in court.

This paper asks whether states should allow prediction markets and, if so, under which rules. It reviews the economic and legal literature, describes the platforms' mechanics, valuations and structure, and uses the author's dataset of every Kalshi market from 2021 to October 2026 to show what people actually bet on. It then tests seven claims made for prediction markets on the scale used in the author's earlier review of hedge-fund policy (Holds, Holds in part, Does not hold).

The answer is a qualified yes. Prediction markets on economic, political, scientific and weather questions produce useful, well-calibrated forecasts, and their best contracts deserve a light regime. But about four-fifths of the volume (79% in July 2026) is sports betting under another name, and the claim that these contracts are hedging instruments does not survive the evidence. The paper proposes a six-layer regime: regulate contracts by what they are about rather than by who lists them; a statutory insider-trading rule and identity checks; listing rules that exclude acts of violence, military operations and single-person outcomes; no margin for retail event contracts; honest marketing with a published share of losing accounts; and equal taxes and age limits for sports contracts. Allowed on these terms, prediction markets can become what their supporters promise: machines for discovering the truth, rather than casinos with better branding.

Keywords: *prediction markets; event contracts; Kalshi; Polymarket; gambling regulation; CFTC; insider trading; information aggregation; favourite–longshot bias; sports betting*

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1. Introduction

On 3 January 2026, United States forces captured Nicolás Maduro in Caracas. In the days before, a new account on Polymarket had bet about $33,000 that Maduro would be out of power by the end of the month. It made about $410,000. In April, the Justice Department charged an active-duty soldier who had worked on the operation with insider trading, wire fraud and theft of government information (U.S. Department of Justice, 2026). Six months later, on 26 October 2026, the National Basketball Association named Kalshi and Polymarket its “preferred prediction market exchanges” (NBA, 2026). Two days later, the state of Utah charged Kalshi's two founders with fourteen criminal counts of illegal gambling (DeFi Rate, 2026), and the day after that Kalshi raised $1 billion at a valuation of $40 billion (Cointelegraph, 2026b).

Those four facts summarise the subject of this paper. Prediction markets let anyone buy a contract that pays one dollar if an event happens: a rate cut, an election result, a hurricane, a basketball game. Their price is the crowd's probability. Economists have argued for decades that such prices aggregate dispersed knowledge better than polls or experts (Hayek, 1945; Wolfers & Zitzewitz, 2004; Arrow et al., 2008). Since 2024 they have also become a mass consumer product, and most of what is traded on them is sport.

1.1 The question

This paper asks a simple question: should states allow prediction markets, and if so, how should they be regulated? It follows the approach of the author's review of hedge-fund policy (Auberger, 2026b), which tested the closing argument of *More Money Than God* claim by claim. Here there is no single book to test. Instead, the paper borrows its spirit from a different kind of text: Leopold Aschenbrenner's *Situational Awareness* (2024), which argued that a technology most people still treated as a toy was on a trend line that would change the economy and politics within a decade, and that public institutions were not ready. Whether or not his own forecast proves right, the method is useful: count the orders of magnitude, take the trend seriously, ask what breaks, and say what the state should do before it breaks.

Applied to prediction markets, the trend is not in doubt. Trading on the two leading platforms grew about 19-fold between January 2025 and July 2026, and Kalshi's own contract count grew by four orders of magnitude between 2021 and 2026 (Chapter 4). What is in doubt is what the trend means. Supporters call the platforms “truth machines”, a phrase used by the

chairman of the Commodity Futures Trading Commission (CFTC), Michael Selig, in a March 2026 speech (Cointelegraph, 2026a). Critics call them unlicensed casinos that use a derivatives label to avoid gambling taxes, age limits and state law (Holden, Turk and Edelman, forthcoming, summarised in The Regulatory Review, 2026). This paper argues that both are right, about different contracts.

1.2 Seven claims

The case for allowing prediction markets with little regulation rests on seven claims, made by the platforms, their investors and their academic supporters. Each is tested in Chapter 6:

- **C1. Information.** Prediction markets aggregate information and forecast better than the alternatives.
- **C2. Finance, not gambling.** Event contracts are financial instruments that let people hedge real risks.
- **C3. No house.** Because the platform is an exchange, it does not profit from its users' losses.
- **C4. A public good.** Market probabilities are useful to policymakers, journalists and researchers.
- **C5. Self-policing.** The platforms and the law can keep insider trading and manipulation in check.
- **C6. Federal oversight is enough.** A single federal regulator, the CFTC, can supervise the industry alone.
- **C7. A lasting industry.** The boom is durable and will create large, lasting firms.

Each claim is rated on the scale of the hedge-fund review: *Holds*, *Holds in part* or *Does not hold* (the hedge-fund review's fourth level, *No longer holds*, is not needed here, because none of these claims was ever true and then stopped being so). The ratings then shape the regime proposed in Chapter 9.

1.3 Method and sources

The paper combines four kinds of evidence. First, the academic literature on prediction markets, betting markets, gambling harm and the regulation of event contracts (Chapter 2). Second, primary and secondary sources on the platforms, their volumes, valuations and legal disputes, collected up to 30 October 2026. Third, the author's dataset of every Kalshi market

with at least 1,000 contracts traded, from Kalshi's launch in July 2021 to 27 October 2026, built for an earlier study of whether a fund could profit from selling long-shot contracts (Auberger, 2026a); it is used here to describe what people bet on and how cheap contracts are priced. Fourth, public statistics from the Pew Research Center, which compiled monthly volumes by topic from The Block's data (Radde, 2026b) and studied a sample of Polymarket accounts (Radde, 2026a). Volumes are notional: each contract counts as one dollar, whatever its price. Appendix B describes the data.

A word on terms. In this paper, “states” means governments in general, and “the states” means the fifty US states when the distinction matters. “Prediction market” means an exchange that lists binary contracts on future events, whatever its legal form; “event contract” is the term used in US derivatives law.

2. Literature Review

2.1 Markets as truth machines

The intellectual case for prediction markets begins with Hayek (1945), who argued that the knowledge needed to run an economy is dispersed among many people and that prices are the device that brings it together. Prediction markets apply the idea directly: a contract that pays $1 if an event happens should trade at the market's probability of the event, and anyone who knows better can profit by correcting it. Wolfers and Zitzewitz (2004) reviewed the early evidence and found that such markets forecast elections, economic releases and corporate milestones at least as well as polls and experts. Berg, Nelson and Rietz (2008) showed that the Iowa Electronic Markets beat 964 polls in 74% of comparisons over five US presidential elections. Manski (2006) added a caution: the price of a contract is not, in general, the average belief of the traders, so prices should be read as probabilities with care.

In 2008, twenty-two scholars, mostly economists, among them Kenneth Arrow, Thomas Schelling and Vernon Smith, signed “The Promise of Prediction Markets” in *Science* (Arrow et al., 2008). They asked US regulators to create a safe harbour for small-stakes, non-profit research markets, arguing that gambling laws were blocking a valuable forecasting tool. Hanson (2013) went further and proposed *futarchy*: voters would choose the goals of policy, and markets would choose the policies most likely to achieve them. The most recent evidence is encouraging for economic questions. Diercks, Katz and Wright (2026), at the Federal Reserve Board and Johns Hopkins, find that Kalshi's macroeconomic markets forecast as well as surveys of professional forecasters and established derivatives markets, with a perfect record on Federal Reserve decisions in their sample, and that they provide full probability distributions for growth, unemployment and inflation that no other market offers.

History also shows that large betting markets on public questions are not new. Rhode and Strumpf (2004) document organised betting on US presidential elections from 1868 to 1940, centred on Wall Street, with volumes that in some years rivalled trading on the stock exchange and forecasts that were remarkably accurate before scientific polling existed. The markets disappeared under anti-gambling laws and the rise of polls, not because they failed to predict.

2.2 Markets as casinos

A second literature studies betting markets as markets for risk and entertainment. Its central regularity is the favourite–longshot bias: bettors overpay for unlikely outcomes and underpay for likely ones (Thaler & Ziemba, 1988). Snowberg and Wolfers (2010) show that the bias is best explained by misperception of small probabilities, in the spirit of prospect theory (Kahneman & Tversky, 1979), rather than by a love of risk. On Kalshi, Bürgi, Deng and Whelan (2026) find the same pattern: from 2021 to April 2025, contracts costing less than ten cents lost buyers more than 60% of their stake, and the takers who cross the spread lost far more than the makers who post orders. The author's own study of the same market extended to October 2026 (Auberger, 2026a) finds that the bias has weakened as volume grew, but that the fees and the spread still leave the average taker with a loss.

The economic consequences of easy access to betting are now well documented for sports betting, the closest analogue to today's prediction markets. Using the staggered legalisation of online sports betting across US states, Baker, Balthrop, Johnson, Kotter and Pisciotta (2024) find that it reduced household savings and increased overdrafts, and Hollenbeck, Larsen and Proserpio (2024) find falls in credit scores and rises in bankruptcies and debt collections, concentrated among young men and lower-income households. These studies matter because, as Chapter 4 shows, the bulk of prediction-market volume is now sports, traded by an audience that overlaps closely with sports bettors.

2.3 Insiders, manipulation and the public interest

Whether insider trading is a problem in prediction markets is an old debate. Manne (1966) argued that insider trading in shares speeds the incorporation of information into prices. Supporters of prediction markets have often made the same argument: if the purpose of the market is to reveal the truth, the trader who knows it is the most useful participant (Hanson, 2007). The counter-argument is that insiders drive away the uninformed traders whose losses pay for the information, and that some insiders can change the outcome itself. Hanson (2007) recounts how the Pentagon's Policy Analysis Market, a 2003 project to forecast Middle East events, was cancelled within a day after senators objected that it would let people profit from terrorism and assassination. Twenty-three years later, the CFTC's proposed rule on event contracts treats those same categories as contrary to the public interest (WilmerHale, 2026).

Legal scholars have recently focused on what happens when settlement depends on what a small group says or does. Goodell Ugalde (2026, summarised in The Regulatory Review, 2026) warns that contracts settled on the wording of officials or journalists create incentives to pressure them, a risk that became concrete in March 2026 (Chapter 6). Beylin (2026) argues in his comment to the CFTC that many contracts settle on the decisions of one person or a small group, which invites manipulation and insider trading, and asks the CFTC to refuse such contracts.

2.4 How should they be regulated?

The legal literature is divided on the central question: are event contracts derivatives, to be regulated federally by the CFTC, or wagers, to be regulated by the states? Holden, Turk and Edelman (forthcoming) call sports prediction markets “one of the starkest cases of regulatory arbitrage that can be imagined” and propose temporary concurrent federal and state jurisdiction while evidence is gathered. Kurtz (2026) argues that political prediction markets are “bad law, but good policy”: the statute probably lets the CFTC block them, but it should be amended to weigh their informational value. Lockhart (2026, summarised in The Regulatory Review, 2026) proposes a test based on whether a contract reallocates an existing risk, under which most event contracts would count as investments but games of chance would not. Beylin (2026) proposes that the CFTC delist contracts with no meaningful hedging or price-discovery use and return them to state gambling law. The Congressional Research Service summarises the policy issues for Congress as jurisdiction, consumer protection, market integrity and taxation (CRS, 2026).

Three gaps remain in this literature, and this paper addresses them. First, most legal work treats event contracts as one category, while the data show two very different products. Second, the economic work on information and the work on gambling harm rarely meet. Third, few proposals cover leverage, marketing and international regulation, which the industry's newest products (perpetual futures and margin) make urgent.

3. How Prediction Markets Work

3.1 The contract and the order book

A prediction-market contract pays $1 if an event happens and nothing otherwise. Buying “Yes” at 30 cents is the same position as selling “No” at 70 cents. Contracts are grouped into events (all the candidates of one election, all the price ranges of one day's S&P 500 close). Kalshi and Polymarket both use a central limit order book: a *maker* posts an order that waits in the book, and a *taker* accepts a waiting order and trades immediately. If nobody is willing to take the other side, there is no trade; the platform does not take positions against its customers. This is the basis of the platforms' claim that they are exchanges rather than bookmakers.

The price of a contract is read as a probability. A contract at 30 cents says the market thinks the event has about a 30% chance. Because many related contracts trade at once, the prices of an event also give a full distribution: the ranges of the S&P 500 close, the number of rate cuts this year, the temperature in New York tomorrow.

3.2 Who earns: fees, makers and the missing house

Kalshi earns a fee on each trade, which is largest for contracts near 50 cents and smallest for long shots:

$$F = \text{RoundUp}_{\text{cent}} \left[0.07 \times C \times P \times (1 - P) \right] \qquad (1)$$

where P is the price in dollars and C the number of contracts. On a contract at 50 cents, the fee is 1.75 cents, or 3.5% of the stake. Some series carry a multiplier, and since 2025 some charge makers a quarter of the taker rate. Applying this formula to Kalshi's 2025 trades gives fee revenue of $263.5 million, of which $234.6 million, or 89%, came from sports (InGame, 2026). Polymarket's international exchange charged no fees on most markets for most of its history; its US exchange, launched in late 2025, charges a taker fee.

The fee is not the only cost. Takers also pay the spread to the makers, and the makers on the busiest markets are professional firms; Utah's civil suit names Susquehanna entities alongside Kalshi (DeFi Rate, 2026). In the author's study of Kalshi, makers who sold long shots earned about 1.9% per dollar while takers earned roughly nothing, and in the check samples between 43% and 60% of long-shot contracts had no bid for “Yes” at all a day before the close (Auberger, 2026a). There is no house in the legal sense. But the platform's fee and

the makers' spread together play the role that the house edge plays in a casino: they are paid by the customer whatever the outcome.

3.3 Settlement: who decides what happened

Kalshi settles contracts itself, according to rules filed with the CFTC that name a source (an official statistic, a league's data feed, a news organisation). Polymarket's international exchange uses UMA, a blockchain “optimistic oracle”: anyone can propose an outcome, anyone can dispute it by posting a bond, and disputes are decided by a vote of UMA token holders. The system is cheap and fast, but it means that holders of a governance token, some of whom may hold positions in the market, decide disputed outcomes. Settlement is where prediction markets are most exposed: a market is only as trustworthy as the fact it settles on, and when settlement depends on a sentence in a news report or on what an official says, the people who write or say it become targets (Section 6.5).

3.4 Leverage, combos and perpetual futures

Three newer products bring prediction markets closer to both casinos and brokers. *Combos*, Kalshi's name for parlays, pay only if several outcomes all occur; they were 3.05 million of the 4.00 million markets Kalshi created between November 2025 and October 2026 that passed the author's volume filter (Auberger, 2026a), and they are the product most clearly borrowed from sportsbooks. *Perpetual futures* (perps) are leveraged contracts on an asset price with no expiry date. Kalshi received CFTC approval for a Bitcoin perpetual on 29 May 2026; by June it listed thirteen crypto perpetuals for US retail traders. Leverage varies with the position, with a headline maximum of about 6× on Bitcoin and lower on other coins, and on 18 August 2026 its perps traded about $500 million of notional in a day (Oddsshopper, 2026). Polymarket launched perps of up to 20× leverage on 67 contracts, from crypto to shares and commodities, on its international site on 3 September 2026; US users cannot place orders (The Defiant, 2026).

Margin on the event contracts themselves is the next step. Kalshi's affiliate Kinetic Markets was registered as a futures commission merchant in March 2026, and Polymarket's affiliate applied for the same status in July 2026; both still need CFTC approval to let customers trade event contracts without posting the full value (The Block, 2026a; CoinMarketCap, 2026). The CFTC's advance notice of March 2026 asked whether margin should be allowed for retail or only institutional customers (Sidley Austin, 2026). The figure

of “12× leverage” that circulates for these platforms could not be traced to any official source: the documented maximums are about 6× on Kalshi's US perps and 20× on Polymarket's offshore perps, and the number twelve may come from an earlier Kalshi request for approval of twelve crypto perpetuals, a count of contracts rather than a leverage ratio (the thirteen listed in June include one more). Leverage on a binary contract is particularly dangerous, because the contract can lose its entire value at once; Chapter 9 proposes that it stay closed to retail customers.

3.5 The platforms compared

Table 1. The main prediction-market venues, October 2026

	Kalshi	Polymarket (international)	Polymarket US	Robinhood
Legal form	CFTC-registered exchange (DCM) and clearing house	Offshore crypto exchange	CFTC-registered exchange (formerly QCX)	Broker; exchange through Rothera, a joint venture with Susquehanna
Collateral	US dollars	USDC stablecoin	US dollars	US dollars
Minimum age	18 (limits for 18–20 since Oct 2026)	18	18	18
Fees	Taker fee, eq. (1); some maker fees	Mostly none	Taker fee	Per-contract commission
Settlement	Exchange, under filed rules	UMA oracle vote	Exchange	Exchange
Leverage	Perps up to about 6×; margin pending	Perps up to 20×	None on event contracts	None on event contracts
Main markets	Sports (about 80% of volume), crypto, economics, weather	Sports, politics, crypto	Sports, politics	Sports, economics, politics
Valuation	$40bn (Oct 2026)	$21bn (Aug 2026, whole group)	—	Listed company

Information from the sources cited in Chapters 3 and 4. DCM: designated contract market. Source: Kalshi, Polymarket and Robinhood disclosures as reported by the sources cited in the text; author's compilation.

Around these venues, a second ring of firms has entered since 2025: brokers that route customers to the exchanges (Robinhood, Webull, Coinbase), sports-betting companies with their own prediction products (DraftKings, FanDuel with CME Group, Fanatics, Underdog, PrizePicks), and specialist exchanges such as Novig and Crypto.com's. Some of them, notably Novig and Fanatics, have chosen a minimum age of 21 voluntarily (Covers, 2026).

4. Counting the Orders of Magnitude

4.1 Volume

Figure 1 shows the monthly notional volume of Kalshi and Polymarket. In 2025 the two together traded about $51 billion. In the first eight months of 2026 they traded $257 billion, five times as much in two-thirds of the time. The months of the football World Cup, June and July 2026, set records at $48 and $53 billion; August fell back to $45 billion, the first monthly decline in a year, but remained far above May (The Block, 2026b). Kalshi overtook Polymarket in the second half of 2025 and handled about 82% of the combined volume in August 2026.

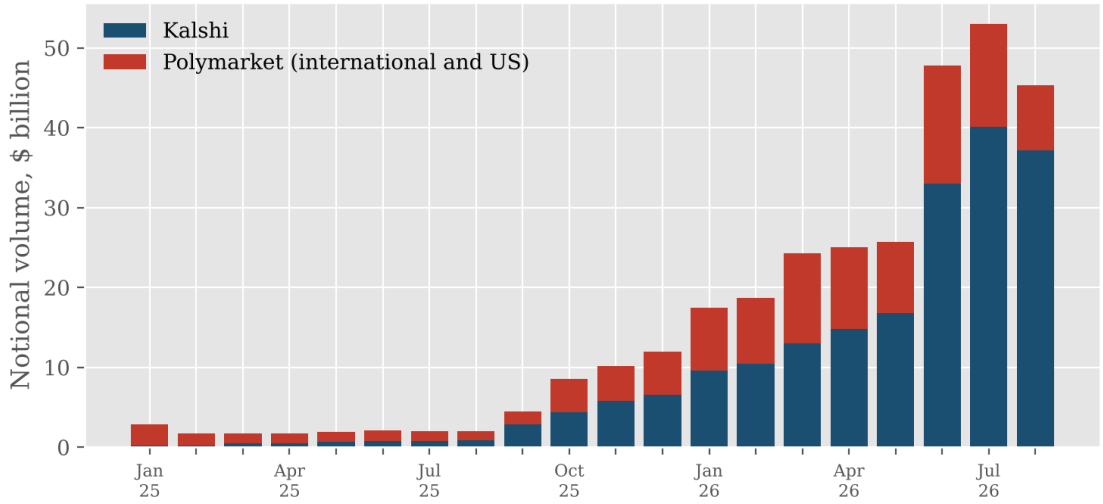


Figure 1. Monthly notional volume on Kalshi and Polymarket (international and US), January 2025 to August 2026, in billions of dollars. Each contract counts as $1. Source: Radde (2026b), from The Block's data, to July 2026; The Block (2026b) for August 2026. Figure produced using Matplotlib (Hunter, 2007).

The growth is not a series of spikes. The author's Kalshi data, which count contracts traded in markets with at least 1,000 contracts and exclude combos and markets that reset every hour, show 8 million contracts in 2021, 151 million in 2023, 549 million in 2024, 22 billion in 2025 and 99 billion in 2026 to 27 October. That is four orders of magnitude in five years, more than two of them in the last two. Robinhood, which sells event contracts to its brokerage customers, traded 16.4 billion contracts in the third quarter of 2026 and earned $173 million from them, more than from crypto for the first time (StockTitan, 2026).

Figure 2 shows why the growth happened. Sports went from a small share of Kalshi's volume in January 2025 to between about 70% and 90% from March 2025 onwards; on Polymarket the share fell to about a quarter in mid-2025, when politics and crypto dominated,

then rose to 82% in July 2026. Across both platforms, 79% of the volume in July 2026 was sport. Pew estimates that in the first quarter of 2026 the sports volume on prediction markets was roughly equal to the $40 billion wagered in all legal US sportsbooks (Radde, 2026b). That comparison flatters the platforms. Volumes are notional, so every contract counts as $1, while sportsbook handle counts the money staked; a buyer of a 50-cent contract stakes 50 cents. Measured in stakes, prediction-market sports betting was probably about half the size of the sportsbooks' handle in that quarter, which is still remarkable for a product that barely existed two years earlier.

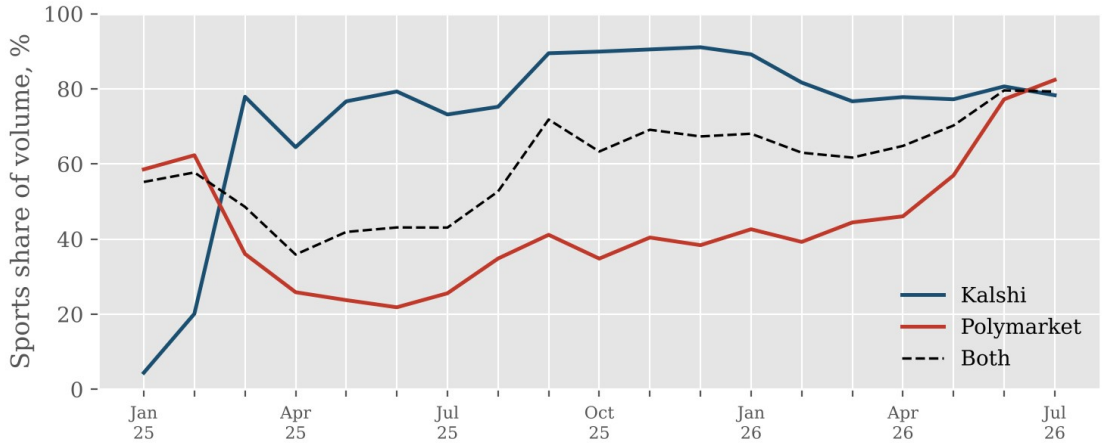


Figure 2. Share of sports contracts in monthly notional volume, January 2025 to July 2026. Source: Author's calculations from Radde (2026b). Figure produced using Matplotlib (Hunter, 2007).

4.2 Valuations: from unicorns to decacorns

The question of whether these platforms will grow into unicorns, start-ups valued at more than a billion dollars, was answered in 2025. Table 2 and Figure 3 show the funding rounds. Kalshi was valued at $787 million in the autumn of 2024 and $40 billion in October 2026, fifty times more in two years. Polymarket went from about $1 billion in June 2025 to $8 billion before the investment of Intercontinental Exchange (ICE), the owner of the New York Stock Exchange, in October 2025, and to $21 billion in a round led by 1789 Capital in August 2026.

Table 2. Funding rounds of Kalshi and Polymarket, 2024–2026

Date	Firm	Amount	Valuation	Lead investor(s)
Autumn 2024	Kalshi	—	$0.79bn	—
June 2025	Kalshi	$185m	$2bn	Paradigm
June 2025	Polymarket	about $200m	about $1bn	Founders Fund (reported)
October 2025	Kalshi	$300m	$5bn	Sequoia, Andreessen Horowitz
October 2025	Polymarket	up to $2bn	$8bn before the investment	Intercontinental Exchange
December 2025	Kalshi	$1bn	$11bn	Paradigm
March 2026	Kalshi	$1bn	$22bn	Coatue
August 2026	Polymarket	$1bn	$21bn	1789 Capital
October 2026	Kalshi	$1bn	$40bn	Wellington, Sequoia

Some rounds are reported by the press rather than announced by the companies. Source: Next Event Horizon (2025); Pulse 2.0 (2025); ICE (2025); CoinDesk (2026); Bloomberg (2026); Cointelegraph (2026b).

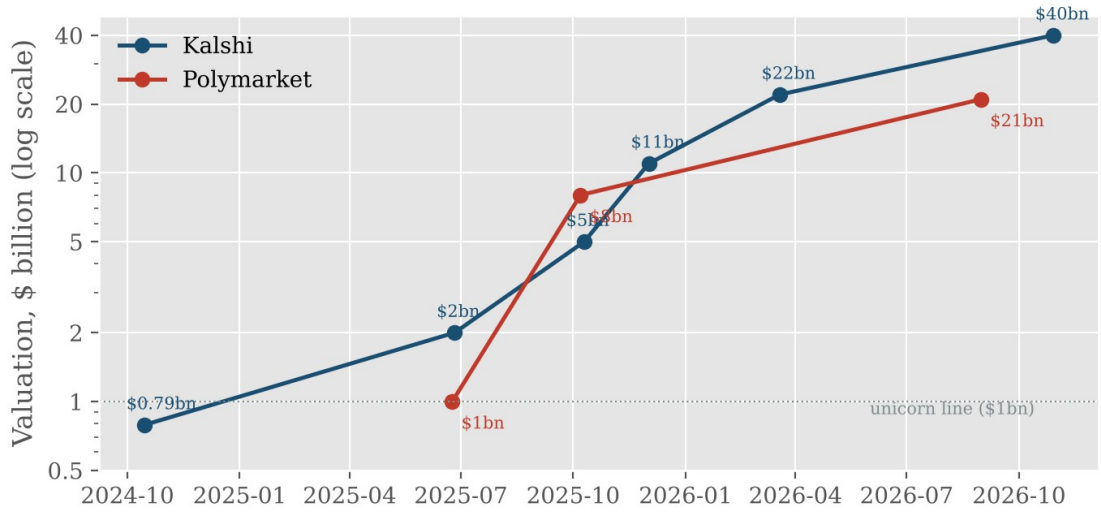


Figure 3. Valuation of Kalshi and Polymarket at each funding round, in billions of dollars (log scale). Polymarket's October 2025 point is ICE's pre-money valuation. Source: As Table 2. Figure produced using Matplotlib (Hunter, 2007).

How much of this is justified? Kalshi's $40 billion is about 150 times its 2025 fee revenue of $263.5 million, and about 27 times the $1.5 billion annualised revenue reported in March 2026 (InGame, 2026; CoinDesk, 2026). Listed exchange groups such as CME and ICE are valued at a small fraction of that multiple. Investors are paying for growth, for a future in which event contracts, perps and data form a new exchange, and for an option on winning the legal battle over sports. Analysts at Bernstein have also suggested that both firms could become takeover targets (Yahoo Finance, 2026). The valuations are therefore, in part, a bet on regulation, which Chapter 8 discusses.

4.3 The industry's new structure

Three changes since 2025 have turned two start-ups into an industry. First, incumbents have bought in: ICE invested up to $2 billion in Polymarket and distributes its data to institutional clients (ICE, 2025); S&P Dow Jones Indices licenses its benchmarks to Kalshi; CME runs FanDuel's prediction product. Second, distribution has moved to brokers and media: Robinhood is now one of the largest venues, news organisations show market probabilities on air, and in October 2026 the NBA signed an integrity agreement with the CFTC and named Kalshi and Polymarket its preferred exchanges, giving them league data and marketing rights (NBA, 2026). Third, the platforms have moved beyond event contracts into perpetual futures and margin (Section 3.4), which puts them in competition with crypto exchanges and futures brokers.

The industry also has unusual political connections. Donald Trump Jr. has been a paid strategic adviser to Kalshi since January 2025 and joined Polymarket's advisory board in August 2025, when his firm 1789 Capital invested (Front Office Sports, 2025); 1789 Capital then led Polymarket's $21 billion round. Since December 2025, the CFTC has had a single commissioner, its chairman, after the last other commissioner resigned (CFTC, 2025; Bloomberg Law, 2026). The agency that regulates the platforms has filed suits against at least ten states to defend them (Appendix A).

4.4 Who trades, and who wins

Little is known about prediction-market users, because the platforms publish little. Two sources help. In an Ipsos survey for the American Institute for Boys and Men in early 2026, about one American in five was familiar with prediction markets and 4% had used one in the past six months; 61% said trading on them is closer to gambling, and 8% closer to investing (Axios, 2026). Pew studied 11,989 active Polymarket accounts that traded on ten high-volume events between May and June 2026 (Radde, 2026a). The median account made 46 trades on ten days; the average trade was $6.50. Figure 4 shows the result: 56% of accounts lost money, mostly small amounts, but among the most active 11% of accounts, a third lost more than $1,000. On a platform that charged no fees on most of these markets, this is close to a zero-sum outcome: it shows how gains and losses are spread among users, not what the platform costs them.

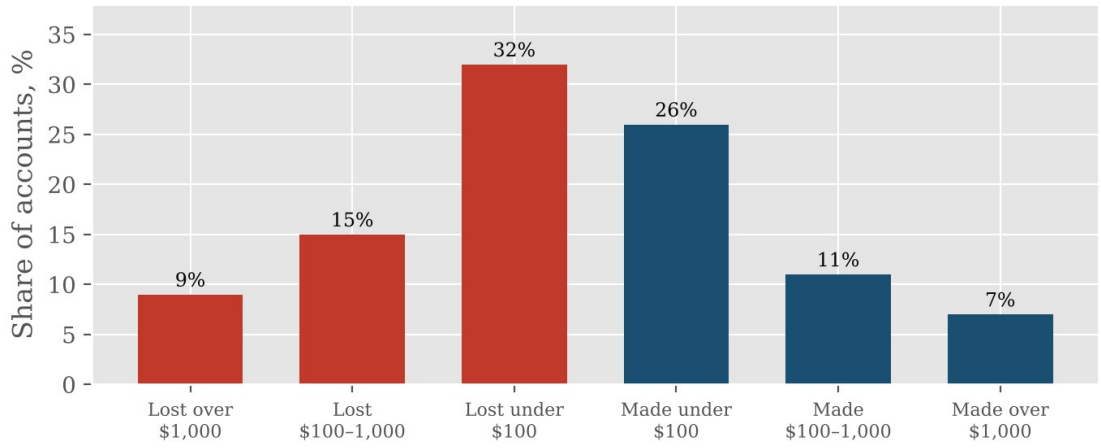


Figure 4. Profit and loss of 11,989 Polymarket accounts that traded on ten high-volume events, 7 May to 19 June 2026. Source: Radde (2026a). Figure produced using Matplotlib (Hunter, 2007).

Young adults are a large audience. Kalshi told CNN that users aged 18 to 20, who cannot bet in a sportsbook in most states, made 3.14% of its trading volume; CNN estimated their 2026 volume at $5.4 billion, of which $3.9 billion was on sports and combos (Fortune, 2026). In October 2026 Kalshi introduced a $2,500 monthly deposit limit for users under 21 (Covers, 2026). Its advertising has been criticised for presenting trading as a “money hack” and a “side hustle” in videos aimed at young people (Media Matters for America, 2026).

5. What We Bet On: A Mirror of Society

Prediction markets are fascinating for a reason that has little to do with finance. Every contract is a question that somebody wanted to ask and others were willing to pay to answer. The list of what a society bets on, and how much, is a census of its attention, its hopes and its sense of what is uncertain.

5.1 From COVID cases to baseball games

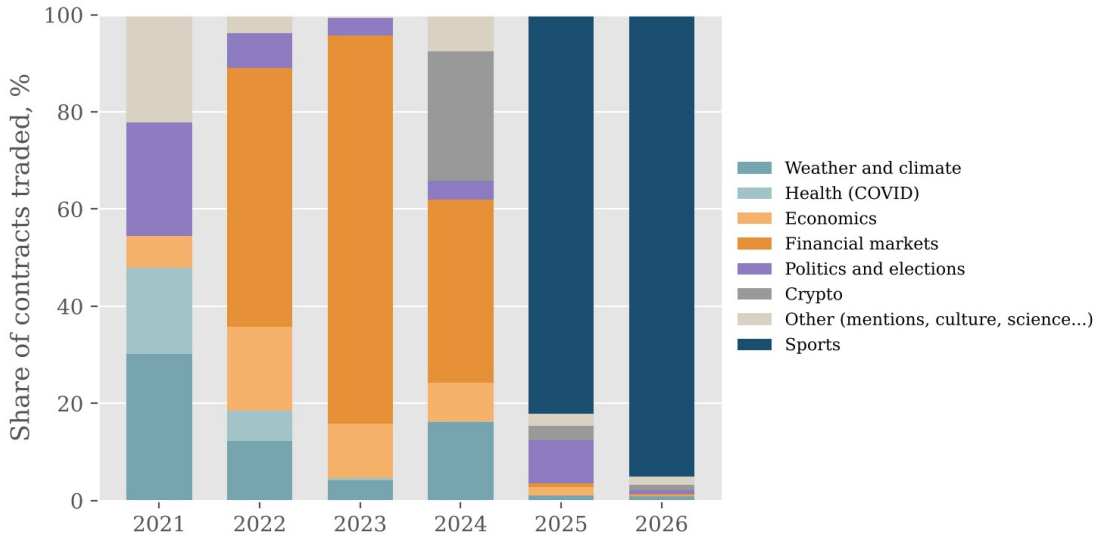


Figure 5. Share of contracts traded on Kalshi by topic and year of settlement, 2021 to 27 October 2026. Markets with at least 1,000 contracts traded; combos and markets that reset hourly are excluded. Source: Author's calculations from Kalshi data (Auberger, 2026a). Figure produced using Matplotlib (Hunter, 2007).

Figure 5 shows how the topics traded on Kalshi changed. In 2021, its first year, the largest markets were the highest temperature in New York and Chicago, the number of COVID vaccinations and daily cases, the infrastructure bill and the debt ceiling: weather made up 30% of contracts, health 18%. In 2023 and 2024, ranges of the S&P 500 and the Nasdaq dominated. Sport arrived in 2025, after a court allowed Kalshi to list election contracts and the CFTC stopped objecting to sports contracts, and in 2026 it made up 95% of the contracts in the sample. Years are years of settlement: the 2024 presidential markets settled in January 2025, which is why elections appear in 2025 rather than 2024. The sports share is higher than the 79% of volume in Figure 2 because the sample counts contracts rather than dollars, covers Kalshi only, and excludes combos and the crypto markets that reset every hour or fifteen minutes, which are a large part of the crypto volume in Pew's figures.

Table 3. The most traded Kalshi series of 2026, sports and other topics

Sports series	Contracts (bn)	Other series	Contracts (m)
Professional baseball game	9.9	Bitcoin price above/below	824
NBA game	8.9	World Cup mentions	148
ATP tennis match	6.0	Highest temperature in Los Angeles	144
Men's college basketball game	4.8	What will Trump say?	139
World Cup game	4.5	First Super Bowl halftime song	114
WTA tennis match	3.9	Fed meeting	103
NFL game	3.8	WTI oil price on the day	98
PGA Tour	3.7	S&P 500 above/below	83
College football game	3.2	Highest temperature in New York	81
World Cup advance	2.5	Rotten Tomatoes scores	80

Contracts traded in markets settling between 1 January and 27 October 2026, in billions for sports and millions for other topics. Markets with at least 1,000 contracts; combos and hourly series excluded. Source: Author's calculations from Kalshi data (Auberger, 2026a).

Table 3 makes the contrast concrete. Professional baseball games alone traded about 9.9 billion contracts in 2026, nearly a hundred times the 103 million traded on the Federal Reserve's decisions, the markets most often cited as proof of the platforms' social value. Outside sport, the most popular questions were the price of Bitcoin, the temperature in Los Angeles, which words a president or a broadcaster would say, and the first song of the Super Bowl halftime show. Markets on how long the government shutdown would last, or when tanker traffic through the Strait of Hormuz would return to normal, traded tens of millions of contracts each. The serious questions are there, and they are priced; they are simply a small corner of a market built for entertainment.

Three things stand out. First, people bet most on what they already watch. The calendar of prediction markets is the calendar of television: games every evening, a World Cup in the summer, a Super Bowl in February. Second, the line between information and spectacle has blurred. “Mention markets”, which pay if someone says a given word, turn a press conference or a match commentary into a game; they are also the easiest contracts to manipulate, since the person speaking decides the outcome. Third, politics is a smaller share than its public image suggests: 2.5% of all Kalshi contracts ever traded, against 73.5% for sports, according to PredictionScout (2026), a statistics site that compiles the platforms' public data; its counts are not peer-reviewed and should be read as indicative. The markets that made prediction markets famous are not the ones that make them rich.

5.2 Paying for hope

What people pay for a contract also says something about them. Figure 6 compares the price of contracts costing 1 to 10 cents a day before the close with how often they won, in two periods of the author's Kalshi data. Before November 2025, when about a fifth of these long shots were sports, they were clearly overpriced a day ahead: they won 2.94% of the time at an average price of 3.55 cents, so, measured as the win rate divided by the average price, their buyers lost about 17% before fees. From November 2025 to October 2026, when more than half were sports, prices a day ahead were close to fair: 3.65% won at 3.90 cents, a loss of about 6% on the same measure. Close to the end, the picture is very different. In the earlier period, long shots bought at the last trade before the close won 0.44% of the time at 1.85 cents, a loss of about 76% (Auberger, 2026a). The loss of more than 60% reported by Bürgi, Deng and Whelan (2026), which includes trades up to the close, belongs with this last figure, not with the day-ahead prices.

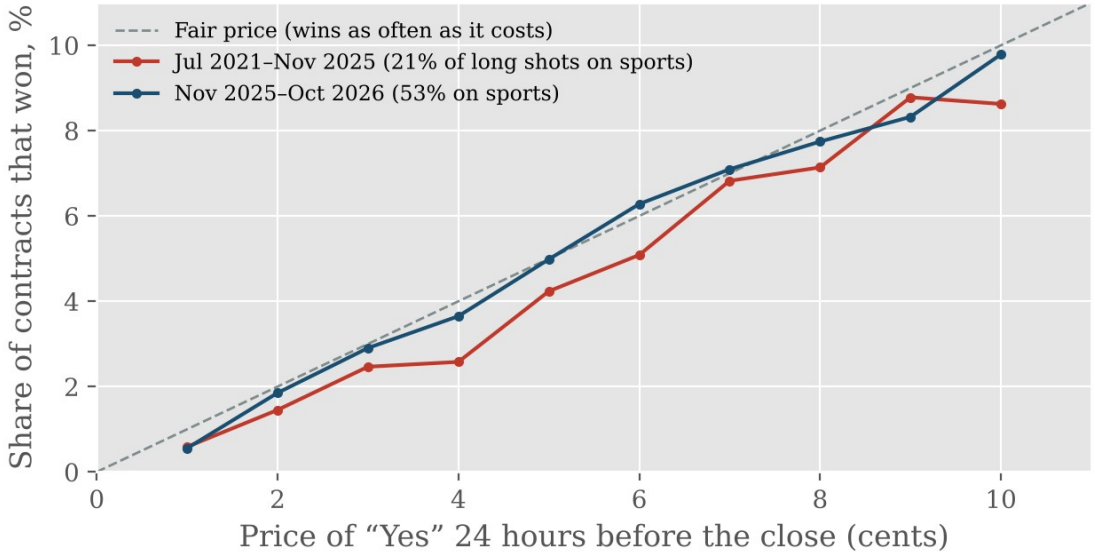


Figure 6. How often “Yes” contracts priced 1 to 10 cents a day before the close won, Kalshi, in two periods: July 2021 to November 2025 and November 2025 to October 2026. The dashed line marks a fair price. Source: Author's calculations from Kalshi data (Auberger, 2026a). Figure produced using Matplotlib (Hunter, 2007).

Two cautions follow. First, the change between the periods is mostly a change in what is traded, not a sign that the market has matured. In the author's study, sellers of long shots earned 0.39% per dollar a day ahead before November 2025 and nothing afterwards; re-weighting the later period to the earlier mix of topics restores most of the gap (0.26%). Sports long shots, which used to be overpriced, no longer are, and there are many more of them. Second, a last traded price a day before the close is often stale, a price at which nobody could

buy (Auberger, 2026a). The fair summary is that, a day ahead, Kalshi's prices are now good probabilities; near the close, cheap contracts remain badly overpriced; and for the typical day-ahead buyer, the cost of hope is now paid mostly through the fee and the spread rather than through the odds.

5.3 Always a new way to make money

The rise of prediction markets belongs to a longer story: each generation invents a new way to turn uncertainty into a trade, and each is sold at first as something more serious than gambling. Wall Street ran the election pools of the nineteenth century (Rhode & Strumpf, 2004); the 2000s had spread betting and binary options; the 2020s had meme stocks, zero-day options, sports-betting apps, crypto perpetuals and now event contracts on anything. What changes is the wrapper. What stays is a demand for small, frequent, high-variance bets, concentrated among young men, and a supply of firms that find a legal form that lets them meet it with less regulation than the last one.

That pattern is not a reason to ban the new product. Binary options were banned for retail customers in Europe and the United Kingdom because they were designed to make customers lose; prediction markets, at least for questions about the world, are not. But the pattern is a reason to judge the product by what it does rather than by what it is called. A society that turns baseball innings into derivatives is not revealing a new hunger for truth; it is rediscovering an old taste for betting. A society that can price, every minute, the probability of a recession, a rate cut or a ceasefire, and show it on the evening news, has gained something real. The task of regulation is to keep the second and tax and police the first.

6. Are They Useful? Seven Claims Tested

6.1 Information and forecasting (C1)

The evidence supports the claim where markets are deep and the question is about the world. Kalshi's macroeconomic markets match professional forecasts (Diercks et al., 2026); Kalshi's long-shot prices are close to calibrated a day ahead, though not near the close (Figure 6); and across 33,716 questions on Kalshi and Polymarket, the favourite one day before the outcome became clear won 74% of the time, while heavy favourites priced at 90 cents or more lost only 4.7% of the time, according to PredictionScout (2026), whose counts, as noted in Section 5.1, are indicative. The claim fails in three places. Thin markets carry stale prices: in the author's study, a price older than six hours was usually one nobody could trade at (Auberger, 2026a). Wash trading inflates the apparent activity: Columbia researchers estimated that about a quarter of Polymarket's volume over three years, and 45% of its sports volume, was traders trading with themselves (Fortune, 2025). And forecasts about events that someone controls are not forecasts but bets on that person's choice. Verdict: **Holds in part**.

6.2 Finance or gambling? (C2)

The platforms argue that their contracts are swaps that let people hedge risk. Some do: a farmer can hedge rainfall, a firm can hedge a tariff decision, an investor can hedge a rate decision. But this is a small share of the market. About 79% of the volume in July 2026 was sport, and the Ninth Circuit reasoned in August 2026 that Kalshi's sports contracts create new risk for ordinary consumers rather than helping investors hedge an existing one (National Law Review, 2026). Even where a hedging use exists, it can be very expensive: in the author's test of Kalshi's daily S&P 500 and Nasdaq-100 range contracts as one-day crash insurance, a bundle paying $1 on a fall of more than 1% below the market's forecast cost 28.5 cents and paid out on 8.6% of days, and adding it lowered the Sharpe ratio of a stock portfolio (Auberger, 2026a). The public agrees: 61% of Americans see trading on these platforms as closer to gambling (Axios, 2026). Verdict: **Does not hold** for most of the volume; it holds for economic, weather and similar contracts.

6.3 No house, no conflict? (C3)

Kalshi has said that it “does not set odds, does not act as a counterparty, and does not profit from customer losses” (Fortune, 2026). The first two statements are true. The third is

true in a narrow sense only. The platform's revenue is a fee on volume, about 1.1% of notional volume in 2025 ($263.5 million on $24.1 billion; InGame, 2026), so it profits from activity, and the most profitable activity is frequent, small trading by customers who cross the spread. Kalshi's own data show who pays: takers lose far more than makers (Bürgi et al., 2026), and in the author's study, makers who sold long shots earned about 1.9% per dollar while takers doing the same earned roughly nothing after fees, because the fee absorbed the edge (Auberger, 2026a). A poker room that takes a rake from every pot also has no stake in who wins the hand, yet nobody calls it an investment exchange. The design does remove one conflict that sportsbooks have: Kalshi cannot limit or ban winning customers as bookmakers do. Verdict: **Holds in part**.

6.4 A public good for policy (C4)

Market probabilities have become a public good of a kind: news networks show them, ICE sells them to institutions, and central bank economists study them (ICE, 2025; Diercks et al., 2026). This is the strongest argument for allowing prediction markets, and it applies to a specific set of contracts: elections, economic releases, policy decisions, weather, science and the outcomes of geopolitical events that are publicly verifiable, such as whether a ceasefire is announced or shipping traffic returns to normal. It does not depend on sport. The public good is also smaller than the attention it gets, and the geopolitical contracts in it need the strictest insider rules (Section 9.2): the Fed markets traded one contract for every hundred traded on baseball games in 2026 (Table 3). Verdict: **Holds in part**.

6.5 Self-policing of insiders (C5)

Table 4. Insider-trading and manipulation cases in prediction markets, 2025–2026

Date	Platform	Case	Outcome
Jan–Apr 2026	Polymarket	Soldier involved in the Maduro raid bets about $33,000 that Maduro will be out; profit about $410,000	Charged by SDNY and CFTC, April 2026
Feb 2026	Kalshi	Video editor of MrBeast trades about $4,000 on markets about the show with near-perfect success	Fined $20,000, suspended two years, referred to CFTC
Feb 2026	Kalshi	Candidate for governor of California bets on himself	Banned five years, fined $2,200
Mar 2026	Polymarket	Traders threaten a Times of Israel journalist with death to change a report that settles a $14m market	Police investigation
May 2026	Decentralised platform	Google engineer trades on Google's year-end search rankings; about $1.2m profit	Charged by SDNY and CFTC
2022–2025	Polymarket	About a quarter of volume estimated to be wash trading	Academic study; no action

Allegations in criminal cases are unproven. Source: U.S. Department of Justice (2026); Akin Gump (2026); NPR (2026); Protos (2026); Fortune (2025).

Table 4 lists the main cases. They show both the problem and the beginnings of an answer. The problem is that prediction markets create many more insiders than share markets: a soldier, a video editor, a candidate, a journalist and an engineer all held information that settled a contract. Kalshi reported opening 200 insider-trading investigations in a year, with 12 still open in February 2026 (NPR, 2026). The answer is that existing law reaches more than was thought. Federal prosecutors used the Commodity Exchange Act's anti-fraud provision and the misappropriation theory of insider trading, and the CFTC brought parallel civil cases (Akin Gump, 2026). But enforcement came after the trades, and only where the trader could be identified. On an offshore platform with pseudonymous wallets, many cases will never be found. The threats against the journalist show a risk that law enforcement cannot fully remove: when a market settles on what someone writes or says, that person becomes a target (Protos, 2026). Verdict: **Does not hold** yet.

6.6 Is federal oversight enough? (C6)

The CFTC was built to supervise professional futures markets, not a consumer product used by millions of young adults. Federal derivatives law has no minimum age above 18, no gambling tax, no rules on advertising to young people, no self-exclusion registry shared with sportsbooks and no requirement to fund problem-gambling services; states have all of these for sports betting. The American Gaming Association, the sportsbook industry's lobby and itself a party to the dispute, estimates that states have lost about $1 billion of tax revenue to prediction markets (Sportsbook Review, 2026); the figure is unaudited, but the direction of the effect is not in doubt. The CFTC itself has had one commissioner since December 2025, which removes the internal checks of a five-member commission, while its chairman calls the platforms “truth machines” and sues states on their behalf. Federal oversight has real strengths: national rules, surveillance and the anti-fraud powers used in the insider cases. But on its own it is not enough for products that function as gambling. Verdict: **Does not hold**.

6.7 A lasting industry (C7)

The trend lines in Chapter 4, the entry of ICE, CME, Robinhood and the leagues, and the move into perps and data all suggest that prediction markets are here to stay. The main risk is legal: if the Supreme Court rules that sports contracts are wagers subject to state law, the largest source of revenue would shrink to the states that license it. Even then, the

information contracts, the data business and the perps would survive. Verdict: **Holds**, with the size of the industry depending on the courts.

6.8 Summary

Table 5. The seven claims and the verdicts

Claim	Verdict	Main evidence
C1. Information and forecasting	Holds in part	Calibrated a day ahead and good macro forecasts; overpriced near the close, stale prices, wash trading
C2. Finance, not gambling	Does not hold (most volume)	About 80% sports; costly hedges; Ninth Circuit; 61% of the public
C3. No house, no conflict	Holds in part	No counterparty, but fees of about 1.1% of volume; takers lose to makers
C4. A public good for policy	Holds in part	Media, Fed and data use; a small share of volume
C5. Self-policing of insiders	Does not hold (yet)	Many new insiders; cases found after the fact; threats against a journalist
C6. Federal oversight is enough	Does not hold	No age, tax or advertising rules; a one-member commission
C7. A lasting industry	Holds	Volume, valuations and incumbents; legal risk on sports

Source: Author's assessment, Chapter 6.

Only C6 fails outright, and only C7 holds, and even that verdict depends on the courts. The pattern is consistent: the claims hold for contracts about the world and fail for contracts that are games. That distinction is the basis of the regime proposed in Chapter 9.

7. The Rules Today

7.1 Washington

In the United States, an event contract listed on a CFTC-registered exchange falls under the Commodity Exchange Act. The Act's "special rule" lets the CFTC prohibit event contracts that involve terrorism, assassination, war, gaming or unlawful activity if they are contrary to the public interest, and CFTC Rule 40.11 bars exchanges from listing such contracts. In 2023 the CFTC refused Kalshi's contracts on control of Congress; in September 2024 a federal court in Washington ruled against the agency, and the CFTC dropped its appeal in May 2025 (WilmerHale, 2026). Since then the agency has changed sides. In March 2026 it issued a staff advisory and an advance notice of rulemaking (Sidley Austin, 2026); in June 2026 it proposed a rule that would define "gaming", treat contracts on the overall outcome of a sporting event as generally acceptable but those settled on injuries, officiating or single actions as suspect, and declare contracts on terrorism, assassination and war "highly likely" to be against the public interest (WilmerHale, 2026). Comments closed on 27 July 2026; no final rule had been adopted by 30 October.

7.2 The states and the courts

States regard sports event contracts as unlicensed sports betting. By October 2026, at least twenty states had a prediction-market platform in federal court and 79 bills had been tracked in fifteen states, six of them enacted (PredictionScout, 2026, an indicative compilation). Appendix A lists the main cases. The federal appeals courts are split. In April 2026 the Third Circuit held, two to one, that Kalshi's sports contracts are likely swaps under the CFTC's exclusive jurisdiction, so New Jersey's gambling law is preempted. In August 2026 the Ninth Circuit held unanimously that they are likely not swaps, and that Nevada may enforce its gaming law (National Law Review, 2026). In September the Sixth Circuit also ruled against Kalshi in Ohio and Tennessee (DeFi Rate, 2026). New Jersey, Robinhood and Crypto.com have asked the Supreme Court to decide; the earliest possible ruling is June 2027, and one gaming lawyer puts the states' chance of winning at 70 to 80% (Yogonet, 2026). In late October 2026 the dispute escalated: Utah filed criminal charges against Kalshi and its founders, and the United States and the CFTC sued Utah to block its laws.

7.3 Congress, leagues and the platforms

Congress has not legislated. On 30 April 2026 the Senate changed its own rules, by unanimous voice vote, to ban senators and their staff from trading on prediction markets (PBS NewsHour, 2026); bipartisan bills would extend the ban to all federal officials and employees trading on insider information, but none had passed by October. The sports leagues have moved from opposition to partnership: Major League Baseball signed an information-sharing agreement with the CFTC in March 2026 (Sidley Austin, 2026), and the NBA's October agreement bars league and team personnel from trading NBA contracts, restricts which contracts may be listed and requires partners to share information on suspicious trading (NBA, 2026). The platforms have added their own rules: Kalshi bans candidates, employees and other "direct decision makers" from related markets and publishes enforcement cases (NPR, 2026).

7.4 Europe and the rest of the world

Outside the United States, regulators have mostly treated prediction markets as gambling. France's gambling authority (ANJ) ordered internet providers to block Polymarket on 16 July 2026, after the Paris prosecutor opened a criminal investigation in May; it states that prediction sites are not authorised in France and are considered illegal gambling sites (ANJ, 2026). Other European gambling regulators have issued similar blocking orders (FIA, 2026). The European Securities and Markets Authority (ESMA) said in July 2026 that event contracts that qualify as financial instruments fall under the national bans on selling binary options to retail clients, and that sports and political contracts generally fall under gambling law (FIA, 2026). In the United Kingdom, the Gambling Commission said in February 2026 that prediction markets are gambling and need a betting licence, like the Betfair exchange; the Financial Conduct Authority said in March 2026 that financial and climate contracts fall under its permanent retail ban on binary options (Bitcoin.com News, 2026).

Table 6. How different jurisdictions classify prediction markets, October 2026

Jurisdiction	Sports and entertainment	Elections and politics	Economic and financial	Status of the main platforms
United States (federal)	Swaps under the CFTC (contested)	Allowed since 2024	Swaps under the CFTC	Kalshi, Polymarket US registered
United States (many states)	Unlicensed sports betting	Mostly not contested	Not contested	Litigation in 20+ states; criminal charges in Utah
European Union	National gambling law	National gambling law	MiFID instruments; retail ban on binary options	Polymarket blocked in France and elsewhere
United Kingdom	Gambling: betting licence	Gambling: betting licence	FCA: retail binary-option ban	Neither licensed

Source: WilmerHale (2026); DeFi Rate (2026); ANJ (2026); FIA (2026); Bitcoin.com News (2026); author's compilation.

The result is a striking divergence. The United States, which banned online gambling for most of the 2000s, now has the most permissive federal regime for prediction markets in the developed world, while Europe, which licenses online betting widely, blocks them. Both positions are partly accidental: the American one comes from a derivatives statute written for farmers and banks, the European one from gambling laws written for bookmakers. Neither was designed for the product.

8. The Decade Ahead

In the spirit of *Situational Awareness*, this chapter takes the trend lines seriously and asks where they lead. The probabilities below are the author's judgment, given to make the argument concrete, not estimates from a model.

8.1 Four scenarios to 2030

Table 7. Scenarios for prediction markets in the United States to 2030

Scenario	What happens	Industry in 2030	Author's judgment
1. The exchange wins	The Supreme Court finds sports contracts are swaps; CFTC rules apply nationwide	Prediction markets absorb much of US sports betting; volumes several times today's	About 20%
2. The states win	The Supreme Court leaves sports contracts to state law	Sports contracts only where licensed; platforms pivot to finance, perps and data; valuations fall	About 35%
3. A grand bargain	Congress creates shared jurisdiction: federal market rules, state-style taxes, age 21 for sports	Large, taxed, regulated industry close to today's size	About 35%
4. Scandal and backlash	An insider or manipulation scandal around an election or a war; a new administration in 2029 turns hostile	Political and sports contracts restricted; industry shrinks	About 10%

Probabilities are the author's subjective judgment. Source: Author's assessment.

Whatever happens, three trends look robust. First, prediction-market prices will become part of the information infrastructure: on news screens, in trading terminals and in central bank briefings. Second, the platforms will converge with brokers and exchanges: Kalshi already lists perps, Robinhood runs its own exchange, ICE owns part of Polymarket, CME runs FanDuel's product. By 2030 a prediction market may be a feature of every trading app rather than a separate product. Third, the number of contracts will keep growing faster than the number of meaningful questions, because the cheapest way to grow is to slice existing games into more contracts.

8.2 Will they crumble under regulation?

Probably not. The industry has three sources of resilience: it is diversified beyond sports, its largest backers are regulated incumbents with every interest in a durable settlement, and its information products have defenders across the political spectrum, from economists to central banks. What can crumble is the valuation built on sports. If the states win, the platforms will look more like licensed sportsbooks in sport, paying state taxes and following

state rules, and more like futures exchanges elsewhere. That would be a smaller industry, but a more legitimate one. The real danger to the industry is not regulation but a scandal it cannot explain away: an election market moved by a foreign actor, a war contract traded by someone who started the war, a referee paid to change a game.

8.3 Fun app, casino or exchange? How they should present themselves

The platforms have tried all three identities at once: a “money hack” for young people on social media, a federally regulated exchange in court, and an entertainment partner for sports leagues. This is not sustainable. Advertising that promises easy money to people who cannot legally bet in a sportsbook invites the comparison with Juul, the e-cigarette firm whose youth marketing produced a regulatory backlash; critics have already made it (Front Office Sports, 2026). A platform that calls itself an exchange in court and a game in its advertising will lose both arguments.

The identity with the most long-term value is the exchange of record for probabilities: the place where the world's questions are priced, where newsrooms, analysts, central banks and companies go for a number. That business is defensible and has incumbents willing to pay for it. Sports contracts can be part of it, but they should be marketed as what they are, a form of betting for adults, with the protections that implies. The firm that accepts this first will find regulators easier to deal with, and investors who value its data more than its handle.

9. What the Rules Should Be

9.1 Principles

Should states allow prediction markets? Yes. Banning them, as France and others have done, throws away a useful source of information and pushes users to offshore platforms where neither identity checks nor insider rules apply. But allowing them should mean regulating each contract for what it is. Four principles follow from Chapters 5 to 7:

- **Substance over label.** A contract on a baseball game is a sports bet, whatever the venue that lists it; a contract on the inflation rate is a financial product, whatever the app that sells it.
- **Same activity, same rules.** A 19-year-old should face the same limits, and the state the same tax, whether a sports bet is placed with a sportsbook or bought as an event contract.
- **Protect the settlement.** A market is only as honest as the fact it settles on; contracts should settle on objective data that no trader controls.
- **Keep the information, tax the entertainment.** Rules should be light where contracts produce public information and strict where they produce mainly losses for consumers.

9.2 A regime in six layers

Table 8. A proposed regime for prediction markets

Layer	Rule	Reason
1. Classification	Contracts are classed by topic. Information contracts (economics, policy, elections, weather, science, and corporate events settled on published data) stay under the market regulator. Game contracts (sports, entertainment, mentions) follow gambling-equivalent rules, applied by states or by a federal standard with shared jurisdiction	C2 and C6 fail for game contracts; C1 and C4 hold for information contracts
2. Insider trading	A statutory insider-trading rule for event contracts; officials, staff, players, team and league personnel, candidates and employees of the reporting source barred from related markets; identity checks on every account; surveillance shared with leagues and agencies	C5 fails: many new insiders, cases found after the fact
3. Listing	No contracts on acts of violence (attacks, strikes, deaths, assassinations) or on specific military operations; conflict outcomes (a ceasefire announced, traffic restored) allowed only if settled on public data, with officials, military and diplomatic staff barred and position limits; no contracts settled by one person's words or discretionary choices (mentions, executives' decisions, individual plays, officiating); decisions of public bodies under published procedures allowed, with the officials barred; independent oracle governance	Manipulation and pressure on those who settle
4. Leverage	No margin on event contracts for retail customers; perps under ordinary futures rules with leverage caps for retail; retail and institutional margin kept separate	A binary contract can lose all its value at once
5. Marketing and transparency	No claims of easy money or investment returns for game contracts; no influencer campaigns aimed at people under 21; each platform publishes the share of accounts that lost money each quarter	C3 holds only in part; users cannot see how many lose
6. Tax and age	Game contracts taxed like sports betting and limited to 21 and over where sports betting is; information contracts open at 18	Same activity, same rules; about $1bn of lost state revenue

Source: Author's proposal.

Layer 1 is the core of the proposal. It accepts the platforms' argument where it is right and rejects it where it is wrong. It would let Kalshi keep its Fed, inflation and weather markets under the CFTC, and require its baseball markets to follow the same rules as a sportsbook's. Holden, Turk and Edelman (forthcoming) propose shared jurisdiction for a similar reason; the classification by topic gives that sharing a clear line. Elections are placed with the information contracts, following Kurtz (2026), but with the insider rules of Layer 2 applied most strictly, and with position limits close to election day.

Layer 3 draws the line that the public-good argument needs. Contracts on the course of a conflict are among the most informative a market can offer, and among the most dangerous. The rule proposed here keeps the first property and limits the second: a contract may ask whether a ceasefire is announced by a date, or when shipping through a strait returns to normal, if it settles on public, verifiable data; it may not ask whether a strike, an attack or a death occurs, because those contracts reward the people who can cause them and invite the pressure on reporters described in Section 6.5. The same logic applies to decisions. A decision taken by a public body under a published procedure, such as a central bank's rate decision, a

court ruling or a regulator's approval, is an information contract, provided that the officials involved and their staff are barred from trading it; a contract on reported earnings is one too. A contract on what a chief executive, or any single person acting at their own discretion, will say or decide is a bet on that person's choice. The test is not whether a person decides, but whether the decision follows a public procedure that others can observe and challenge. This matters even for the CFTC itself, which at present decides through a single commissioner.

Layer 5 borrows from a European precedent. Since 2018, providers of contracts for difference in the EU must tell retail customers what percentage of retail accounts lose money. The same simple number, published for prediction markets, would do more to inform users than any amount of education material, and it would let the claim that customers are investors rather than gamblers be tested in public. Layer 4 applies the same logic to leverage: the CFTC asked in March 2026 whether retail margin should be allowed (Sidley Austin, 2026); for binary contracts the answer should be no.

Outside the United States, the same layers can be applied through licensing rather than bans. The United Kingdom already has the model: a betting-exchange licence for sports and political contracts, and the financial regulator for the rest. The European Union could license information contracts under financial law for professional and, with protections, retail clients, and let member states license game contracts as they license betting exchanges.

9.3 Objections

Insider trading makes prices more accurate. It does, in the short run. But insiders drive away the traders whose money funds the market, and some insiders can change the outcome. Share markets have long accepted some loss of price efficiency in exchange for fair markets; the same trade-off applies here.

Splitting the industry by topic is arbitrary. Every line is somewhat arbitrary, but this one follows the evidence: the topics differ in who trades them, why, and with what results. The CFTC's own proposed rule already draws lines between kinds of sports contracts; drawing one between sport and the rest is simpler.

Strict rules will push users offshore. Some will go. But the platforms that matter in the United States are now registered there, and the main offshore venue already blocks US users for its riskiest products. Identity checks and payment rules can do the rest, as they do for offshore casinos.

The CFTC can do all this alone. It could do much of it under the proposed rule, but it has no power to tax, no tradition of consumer protection for retail gambling and, at present, a single commissioner. A regime that depends on the views of one person is not a regime.

10. Conclusion

Prediction markets are both of the things their supporters and critics say. On questions about the world, they are among the best forecasting tools ever built: Kalshi's prices a day ahead are close to calibrated, its macroeconomic markets match professional forecasters, and a market probability on the evening news is a better guide than most pundits. On sports, which make up about four-fifths of the volume, they are betting under a derivatives label, sold to an audience that includes millions of young adults who could not legally enter a sportsbook, without the taxes, age limits and advertising rules that apply to betting.

Should states allow them? Yes, but on terms that keep the truth machine and regulate the casino. The six layers proposed here do this by classifying contracts by topic, enforcing an insider-trading rule, refusing contracts that reward violence or a single person's choice, keeping leverage away from retail customers on binary bets, forcing the platforms to publish how many customers lose, and taxing game contracts like the bets they are.

What the boom tells us about ourselves is less flattering than the platforms' slogans. Given a market where anything can be priced, people mostly price the games they watch. Yet the boom also shows that a large public is willing to put money behind its beliefs, and that the prices it produces are, on average, good. If regulation can separate those two things, prediction markets will be remembered as the place where societies learned to measure their own uncertainty, and not as the latest way to sell gambling to the young.

This review has limits. Volumes are reported by the platforms or by data firms, not audited; the author's Kalshi data exclude combos and markets that reset hourly; facts are as of 30 October 2026, and several court cases and the CFTC's rule were still pending. The scenarios in Chapter 8 are judgments, not forecasts from a model.

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Appendix A. Litigation as of 30 October 2026

Table 9. Main court cases on prediction markets

Case	Court	Status on 30 October 2026
KalshiEX v. Flaherty (New Jersey)	3rd Cir.; Supreme Court No. 26-299	Kalshi won 2–1 (Apr 2026); state's petition for certiorari pending
KalshiEX v. Assad (Nevada)	9th Cir.	Kalshi lost 3–0 (Aug 2026); rehearing requested; Robinhood and Crypto.com petitions pending
KalshiEX v. Schuler (Ohio)	6th Cir.	Denial of injunction affirmed (Sep 2026); rehearing petition pending
KalshiEX v. Orgel (Tennessee)	6th Cir.	Injunction vacated (Sep 2026); rehearing pending
KalshiEX v. New York Gaming Commission	S.D.N.Y.; 2nd Cir.	Motion for injunction pending appeal; argument set for 3 Nov 2026
Blue Lake Rancheria et al. v. Kalshi and Robinhood	N.D. Cal.; 9th Cir.	Ninth Circuit reversed the tribal-gaming part (Sep 2026)
United States and CFTC v. New York; v. Kentucky; v. Utah	Federal district courts	Suits to block state enforcement; pending
Utah v. KalshiEX, Mansour and Lopes Lara	Utah state court	Fourteen criminal counts filed 28 Oct 2026
Kentucky v. QCX (Polymarket US)	E.D. Ky.	Remand to state court recommended (Oct 2026)

Selected from 148 matters listed by the tracker; status as reported, not verified against dockets. Source: DeFi Rate (2026); National Law Review (2026); Yogonet (2026).

Appendix B. Data and definitions

- Monthly volumes (Figures 1 and 2): notional taker volume compiled by Pew from The Block, January 2025 to July 2026, with Polymarket's international and US exchanges combined (Radde, 2026b); August 2026 from The Block (2026b). Category shares follow Pew's mapping of each platform's categories to sports, politics, crypto and other.
- Kalshi topics and prices (Figures 5 and 6, Table 3): the author's dataset (Auberger, 2026a). Markets that settled Yes or No with at least 1,000 contracts traded and were open at least a day; from July 2021 to 23 November 2025 from a public dataset of every trade, and from 24 November 2025 to 27 October 2026 from Kalshi's public interface. Combos (series beginning KXMVE) and series that reset hourly or every fifteen minutes are excluded, which understates crypto and sports parlays. Topics are Kalshi's series categories; early S&P 500 and Nasdaq series without a category are counted as financial markets. Years are years of settlement.
- Prices in Figure 6: the last traded price at least 24 hours before each market's close, for contracts priced 1 to 10 cents, and the share that settled Yes, before and after 24 November 2025. Losses in Section 5.2 are the win rate divided by the average price, minus one.
- Valuations (Table 2, Figure 3): as reported in the sources cited; Polymarket's October 2025 value is ICE's pre-money valuation.
- All facts are as of 30 October 2026.